



Principled Futures

BOARD RESEARCH PAPER

Bridging the AI Boardroom Gap for Small Organizations

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Small organizations can bridge the 8% board expertise gap by focusing on developing interrogative capability rather than technical mastery, leveraging fractional expertise, and implementing structured internal knowledge transfers. While only 8% of directors currently report strong AI expertise, boards are not expected to build AI systems themselves; instead, they must exercise informed oversight to ensure management has built the right ones. To bridge this gap, small organizations should consider the following strategies:

— 1. Implement Fractional or Outsourced Oversight

For smaller organizations or SMEs that cannot afford a full-time Chief AI Officer or a specialized board member, fractional or outsourced ethical oversight is a viable alternative. This allows the board to access specialized technical, ethical, and strategic depth through targeted vendor partnerships without the overhead of a permanent executive role.

— 2. Conduct Internal "Translation Sessions"

Rather than hiring expensive consultants, boards can utilize their existing technical staff to lead quarterly 30-minute "translation sessions". These sessions should explain a single AI concept (such as "model drift" or "hallucinations") in simple business terms, fostering the understanding necessary for directors to ask better questions of management.

— 3. Focus on AI Literacy Over General Awareness

Boards must move beyond "AI awareness"—simply knowing tools exist—to "AI literacy," which is the ability to interrogate how these systems work and what risks they introduce. This involves:

- Developing a common vocabulary to challenge technical teams.
- Learning to recognize when management answers are "reassuring but empty" (e.g., "we test for bias") versus "specific and verifiable" (e.g., "we tested on stratified samples and retrained with 40% more data").
- Focusing on human skills like curiosity and critical thinking to look beneath surface assurances.

— 4. Direct CEO/COO Accountability

In small organizations without a dedicated AI lead, the CEO or COO must own the AI strategy directly. This ensures that AI is treated as a core business driver and a standing agenda item linked to enterprise strategy, rather than being siloed as a technical experiment.

— 5. Establish Advisory Resources or Subcommittees

Small boards can enhance their collective competence by:

- Establishing a technology subcommittee or a cross-functional independent review committee that includes representatives from HR, legal, and IT.
- Building relationships with think tanks, universities, or industry forums to stay conversant with emerging trends and regulatory shifts.
- Creating a diverse collaborative ecosystem that includes external partners and stakeholders to provide objective second opinions on high-stakes AI decisions.

— 6. Modernize Recruitment and Succession Planning

When vacancies arise, small organizations should rewrite their Non-Executive Director (NED) briefs to specify AI literacy as a foundational requirement, borrowing from the existing standard for cybersecurity fluency. Search committees should prioritize candidates who can evidence AI governance experience in regulated settings rather than just pure technical backgrounds.